

In our individualistic banking system of that time, the trust companies, operating under too-tolerant state laws, were engaged in some unsound banking practices. These created an annoying element of unfair competition for the more strictly controlled National Banks. In that period none of the rapidly growing trust companies was a member of the Clearing House Association. Some of the stronger trust companies made shift to use the facilities of the clearing house by having special arrangements with one or another of the banks which were members. In such a case, a bank would send a trust company's daily accumulation of checks for collection to the clearing house, just as if those checks were a part of the bank's own business. This parasitical device, akin to the habitual borrowing by an improvident neighbor of one's lawn-mower, finally tried the patience of the National Bank of Commerce, which had been performing this service for the Knickerbocker Trust Company. In a curt announcement, the public read that the National Bank of Commerce had declined any longer to clear the checks of the Knickerbocker. The depositors of the Knickerbocker believed they read in this statement something of deeper significance. They began to pour into the trust company, determined to withdraw their deposits. The Knickerbocker did not have much cash. Trust companies were not required to keep cash reserves against their deposits at a ratio at all comparable with that required of the National Banks in the central reserve cities, New York, Chicago and St. Louis, which had to have in their vaults, always, cash equal to 25 per cent of their demand deposits. Lacking cash, the Knickerbocker quickly had to close its doors.

Immediately, an already timorous public grew suspicious of most of the other trust companies, and lines of depositors began to form in front of their doors. Extra editions of the newspapers, falling prices registered in the stock-market, wild rumors, these things contributed force to the wave of emotion that engulfed the banking system.

Almost every caller was some one needing to be soothed. One acquaintance who came to my desk was a man with